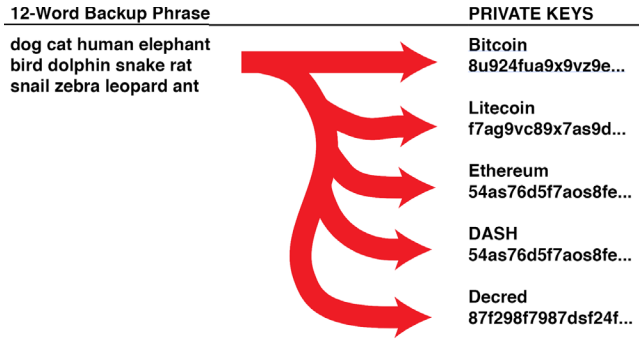
6.0 From Novice to Pro: Navigating the World of the Bitcoin Wallet

When Sats are purchased for the first time, they will be credited to a virtual account, similar to how funds are deposited into a bank account.

The key difference is that while a bank account is centralized and subject to government regulations, a **bitcoin wallet** is decentralized and operates on a **person-to-person** network.
• ***Bitcoin*** has no central point of failure, but it is important to be cautious as someone's ***bitcoin*** can be in the possession of a third party, who is managing it.

• This virtual account, often referred to as a "wallet," is protected by a ***master private key***, much like how a bank account is protected by a *personal PIN or password*. Just as you have control over the funds in your bank account, you can control the Sats in your wallet, and use them to make purchases or transfer them to other accounts.

• Just as a locksmith can create any number of keys that can be used to open locks, a ***recovery or backup phrase*** (*or master private key*) can be used to generate any number of **private keys** that can be used to access your Bitcoin wallet. You could say that a ***recovery phrase*** is like a locksmith, and the **private keys** are the keys that are created by the locksmith.



This table includes the two main types of bitcoin wallets, **self-custodial** and **custodial**. You can see the benefits and risks of using each wallet type and who controls the bitcoin in each case. Self-custodial means the user holds the **private keys**, *which means they are in true possession of their **bitcoin***, while with the second type, the *third party holds them*.

Wallet Type	Who controls my bitcoin?	Benefits	Risks
Self-Custodial Wallets	The user	Complete control over funds and transactions, no approval process or account freeze, no corporate or government control, protected against arbitrary confiscation, like keeping money at home.	No recovery if recovery phrase is lost, less customer support, full responsibility falls on the user.
Custodial Wallets	The third-party provider	Easy recovery if access is lost, easier customer support	Funds are always connected to the internet, more vulnerable to hacking and breaches.